## Journal entries

Accountants then analyze the transaction and note it in the relevant journal—a book or an electronic record.

## Posting

Journal entries are then transferred to the general ledger—a large book or electronic record logging all the company's accounts.

## NEED TO KNOW

- **Debits** Expenses—dividends, assets, and losses. In double-entry accounting, debits appear on the left-hand side of the account
- **Credits** Gains—income, revenue, owners' equity, and liabilities. In double-entry accounting, credits appear on the right-hand side
- **Chart of accounts** List giving the names of all of a company's accounts, used to organize records
- **Audit trail** Full history of a transaction, allowing auditors to trace it from its source, through the general ledger, and note any adjustments made

## Trial balance

A list of all the company's accounts is prepared at the end of the accounting period, usually a year, quarter, or month.

**13%**

**more accountants will be required in the US by 2022**


## Worksheet

Often, trial balance calculations don't accurately balance the books (*see pp.116–117*). In such cases, changes are made on a worksheet.


## Adjusting journal entries

Once the accounts are balanced, any adjustments are noted in journals at the end of the accounting period.